But why were Montagu and the Cabinet determined to follow a course of action so contrary to the advice of Delhi? When it came to the Soviet-Afghan treaty, for example, the Home government was actually well aware of its terms, not only from its own intelligence sources but from having been furnished with a copy by the Bolshevik diplomat, Leonid Krasin, during his stay in London to negotiate the trade agreement. This, then, was not about the practicalities of knowing if the treaty contained terms problematic to Britain. Rather, the Home government had decided to make the agreement a point of principle, an issue over which it quite simply refused to back down. In essence, these protracted debates between London and Delhi are a clear demonstration of what has been noted above – namely that each government placed a different value on Britain's relations with Afghanistan in this period. While, for the Indian government, stability within India and on its frontiers was paramount, for the Home government the issue with Afghanistan was clearly one of prestige. Indeed, Afghanistan appeared almost to be a testing ground for London to see whether Britain could still retain an authority in South Asia. Prestige was the currency of the British Empire – if Kabul could not be brought to heel, this could prove a bad omen to Britain's imperial future. As Reading noted quite aptly, in a letter to Montagu in August 1921: 'I wish...I had been better able to understand from the telegrams what was in the Cabinet's mind... The adjective "humiliating" I suppose gives the key.'[138]

Indeed, for the Home government, Afghanistan appeared to represent the last area in South Asia where it had a chance to remain a dominant force.In Persia, Britain's attempts to attain hegemony had failed; in India its rule was being daily challenged by the likes of Gandhi and others; even in Turkey, although the military situation in the ongoing Greco–Turkish War had recently swung in Greece's favour, the signing of a treaty between Moscow and the nationalist regime at Ankara was a further reminder of Britain's waning influence in this area of the world.[139] Worse still, it would seem that everywhere British officials looked not only was its own position faltering, but Soviet Russia was actually on the ascendancy.

So confident did Moscow appear by 1921 that it was flagrantly ignoring the terms of the trade agreement with Britain, much to the chagrin of men such as Curzon.[140] All was compounded by the embarrassing fallout following